

from the “illiquidity premium.” When investors agree to lock up their capital for five to seven years—something many find unattractive—it creates inefficiencies. Meaning, there may be less available capital than opportunities, which can lead to outperformance.

At least, that was the case *before* the US Federal Reserve kept rates near zero for almost 20 years. Private equity and private credit both boomed, becoming multi-trillion-dollar asset classes. Time will tell if those inefficiencies still exist and whether all that PE capital can capture any of it.

Finally, venture capital involves a unique approach to finding winners. Rather than picking stocks or even companies, venture investing means selecting founders (and management teams). These founders create (pick) ideas that become new technologies. Do a seed or angel round (aka friends and family), and you are picking the guys that pick the ideas that hopefully become successful. If you elect to give your capital to professional venture capitalists, then you are picking the guys that pick the founders that pick the ideas that may become successful.

Stock selection is hard. These other areas are even harder.



Up next, we look at a simple solution to all of these challenges. There are no sure things in investing, but this one is as close as it gets.

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[244](#) Meir Statman, *What Investors Really Want* (McGraw-Hill, 2010).

[245](#) I use “guy” or “they” as gender-neutral pronouns.